Module 8: Building & Managing Your Team

> The people you hire will **define the company** you build.

Key Module Outputs

- Hiring Rubric
- Management OS
- Equity Audit
- Team Health Audit
- Relationship Map
- Investor Update Template




EVERY GROUP PROJECT
DOES 99% OF THE WORK
HAS NO IDEA WHAT'S GOING ON THE WHOLE TIME
SAYS HE'S GOING TO HELP BUT HE'S NOT
DISAPPEAR AT THE VERY BEGINNING AND DOESN'T SHOW UP AGAIN TIL THE VERY END
VIA 9GAG.COM

Your first five hires build the company
(and the culture)

Session 1 • Culture

Building Culture From Day One: The 5 Decisions

Culture is built by what you **do**, not what you **say**. These decisions define your culture whether you intend them to or not.

1. Who You Hire First

Your first five hires set the cultural template for everyone after. You cannot retrofit values onto a team that has already formed around different ones.

2. What You Reward

Do you celebrate the close or address the overpromise? This moment, repeated dozens of times, defines whether honesty or results is your real primary value.

3. What You Tolerate

Every time you tolerate the brilliant but difficult person, you signal what is truly acceptable. The team watches your tolerance more than they read your values.

4. How You Share Bad News

When things go wrong, do you address it directly and transparently? The way a founder communicates failure sets the honesty norm for the whole company.

5. Treating People Who Leave

How you speak about someone who is fired or resigns tells the remaining team if they are safe. The team remembers this longer than any all-hands presentation.

The Culture Reality

Culture is not a 'values poster'. It is the collection of behaviors you reward, tolerate, and punish-often without realizing it. **Repeated behavior is your culture.**

Session 1: Hiring, Culture & Relationships

Founder–Team Dynamics: Asymmetry You Must Manage

The relationship between founder and team is structurally unequal. Understanding that asymmetry is the first step to managing it well.

Expectation Setting

Your team is making life decisions based on their understanding of the company's situation. Radical transparency about company health-runway, risks, and strategic pivots-is essential. Teams that feel misled stop trusting.

Conflict Management

Founder-team conflict almost always starts when a founder makes a decision without explanation. Always explain the 'what' and 'why' for difficult decisions. A 3-minute explanation saves months of morale repair.

Incentive Alignment

Your team's incentives are not your incentives. They are optimizing for salary stability, career development, and personal recognition. The founders who build loyal teams respond to these motivations-not just the ones offering equity.

The Founder Trap

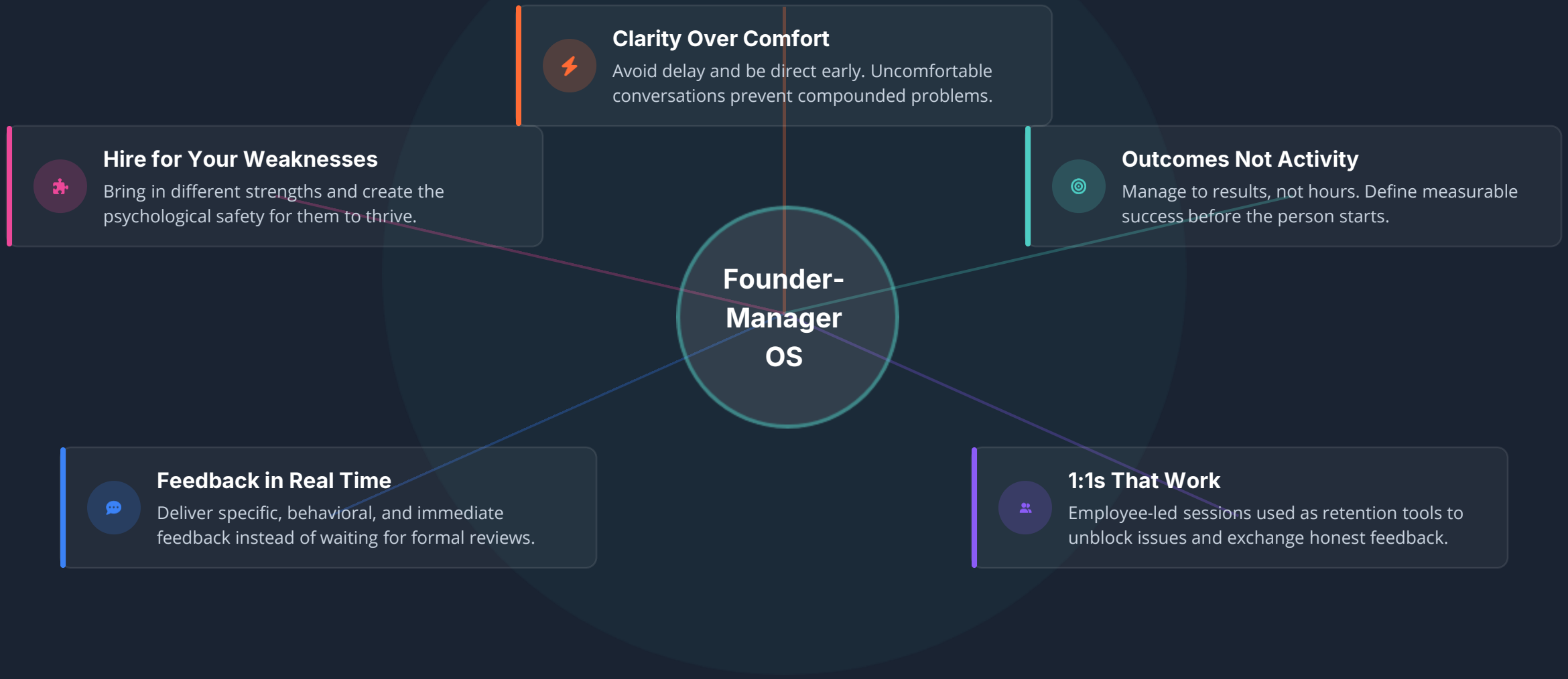
Treating the team as an extension of your will rather than individuals with agency. If you hire smart people and constantly override their judgment, you will lose them and replace them with yes-people-guaranteeing mediocrity.

"Nobody teaches you how to manage. You either learn by making people miserable first - or you find someone who'll tell you the things that aren't in any management book."


NYPD

Framework

The Founder's Management Playbook (5 Principles)



The Impossible Hiring Decision

Candidate A

- Incredible performer
- Very aggressive
- Has managed 100 people
- Delivered 3× growth
- References are mixed
- Former employees say he's difficult

Candidate B

- **Good but not exceptional performer**
- **Great people manager**
- **Strong culture fit**
- **Developed several future leaders**
- **Less ambitious**

The Star Employee Problem ⭐

A startup has a salesperson, Rahul, who is the company's #1 revenue generator.

He generates 25% of the company's sales.

But...

- He regularly shouts at junior employees.
- Two people have resigned citing him.
- He refuses to follow CRM processes.
- He openly tells people: "I'm the one paying your salaries."
- His numbers are exceptional. Noone can come close to his performance

Chief Revenue Officer - We cannot afford to lose Rahul. We're already behind target.

Chief People Officer - If we tolerate this behaviour, we're telling everyone that performance gives you permission to be toxic.

SO, Do you fire your best performer?

Team Health Audit

Team Health Review Matrix

Performance & Execution

Brilliant Jerks / Outgrown

Delivering results but breaking culture or resisting new scale processes. High risk.

The Keepers

Driving results and elevating the culture. Retain, promote, and build around them.

The Misfits

Costing you energy, culture, and results. Irreversible situation. Must let go.

Loyal Strugglers

Strong culture fit but struggling to scale. Needs coaching or role transition.

Stage Fit & Culture Alignment

Analysis & Action Plan

What is stopping you from addressing the team members in the **bottom-left** or **top-left** quadrants? Name the blocker honestly (Legal risk? Relationship? Guilt? Fear of confrontation?).

Output Action:
Schedule 1 hard conversation you have been avoiding for this week.

Session 2 - Letting Go

Knowing When to Let Someone Go (4 Signals)

Most founders wait 3–6 months longer than they should. These four signals tell you it's time.

1. Trust Is Gone

Trust, once lost, is almost never fully recovered.

If you find yourself double-checking their work or making decisions without telling them - the relationship has already ended. You're just managing the paperwork.

2. Same Conversation > 2x

If you've had the same performance conversation more than twice without meaningful change, the problem is not the feedback.

It's either fit, capability, or motivation. None of these are fixed by having a third conversation.

3. The Team Has Noticed

Your team almost always sees performance problems before you act on them.

Every week you keep a visible underperformer costs you credibility with the high performers you most need to retain.

4. They'd Excel Elsewhere

Sometimes a person is genuinely good - just not for this stage, this role, or this specific startup culture.

The most honest exit conversations start from acknowledging this mismatch rather than framing it as a personal failure.

How to Let Someone Go Well

"The way you let people go is remembered by everyone who stays."

Main Guidance

Direct. Brief. Kind.

Provide **one clear reason**. There should be absolutely no ambiguity about the decision.

Timing Matters

Do it on a Tuesday or Wednesday - **never Friday.**

Friday exits leave people isolated over the weekend with no ability to contact support systems or begin transitioning.

Preparation & Next Steps

Give them all the necessary information about next steps, transitions, and logistics **before they have to ask**. Have the details fully prepared.

The Most Honest Exit

Sometimes a person is genuinely good, just not for this stage, role, or culture.

> *"I don't think this is the right environment for you to do your best work."*

Key Principle: Treat letting go with the same rigor and dignity as hiring.

Dynamics

Hidden Conflict Themes

Based on Esther Perel's framework for unearthing the covert issues behind cofounder disputes.

Power & Control

- **Who decides:** Struggles over priorities, status, and final say.
- **Who's 'essential':** Debates over whose contributions add more value.
- **Language:** Characterized by blame, defense, and putting the other down ("You always", "You're wrong").

Care & Closeness

- **Do you have my back?** Fears about whether you're truly in this together.
- **Inclusion vs. Exclusion:** Hurt caused by being left out of meetings or decisions.
- **Broken trust:** The pain of actions taken without consulting the partner, leading to feelings of betrayal.

Respect & Recognition

- **Credit:** Resentment when one founder takes credit for team efforts.
- **Visibility & Worth:** Feeling undervalued or erased from the company story.
- **Symbolism:** Small slights represent larger issues of personal self-worth and professional respect.

Resolution Tools

- **Acknowledge & Validate:** Empathize with their experience ("I can see where you're coming from").
- **Reflective listening:** Reflect back what you heard before you rebut.
- **Own your piece:** Take responsibility for your role in the dynamic.

> **Key Approach:** Address the underlying covert issue, not just the overt argument.

Conflict Management

The 4-Step Conflict Resolution Protocol

1

Step 1
Name the Tension

Start by describing the situation you've observed, not the conclusion you've drawn. Leading with a conclusion puts people on the defense.

Example Script:

"I've noticed [behavior]. Can you help me understand from your side?"

2

Step 2
Listen for Real Issue

Most stated conflicts are symptoms. Listen past the stated issue to the underlying one. Stated conflicts often mask anxiety or unsaid expectations.

Example Script:

"What I'm hearing is [restate]. Is there something underneath? What would make this resolved?"

3

Step 3
Separate from Relationship

Conflict about a decision often feels like conflict about the relationship. Lower the emotional stakes by explicitly stating the difference.

Example Script:

"This is disagreement about [issue], not about our relationship/commitment."

4

Step 4
Agree Decision Process

The goal isn't always total agreement, but a shared understanding of how the decision will be made. Clarity about process creates respect.

Example Script:

"Who has final call, what info needed, timeline. Does that feel fair?"

Key Principle: Conflict avoided is conflict compounded.

Apply this four-step protocol to any relationship: cofounder, team member, or investor. The goal is a shared understanding of how the decision will be made, which creates respect even when the outcome isn't what both parties wanted.

Cofounder Fundamentals

The Co-Founder Code of Conduct: What to Decide on Day One

Establish explicit agreements on these six dimensions before building to prevent catastrophic misalignment later.

1. Values & Ways of Working

Define exactly how the founding team makes decisions, navigates trade-offs under extreme pressure, and what constitutes absolute non-negotiables in your working culture.

2. Decision Protocol

Establish clear rules for how operational decisions are made. Crucially, outline the tie-breaker process when you fundamentally disagree and determine specific milestones for revisiting past decisions.

3. Communication Standards

Set an explicit update cadence. Commit to a culture of writing things down to preserve context, and implement a strict "no triangle talk" rule to eliminate behind-the-scenes complaining.

4. Conflict Escalation Path

Map the exact path for unresolved friction: direct 1:1 conversation → mediated discussion → board or coach intervention. Set rigid timelines for each escalation step so conflicts don't fester.

5. Equity & Vesting Terms

Implement standard 4-year vesting with a 1-year cliff and reverse vesting for ALL founders. Establish early that changes in roles or titles do not equal changes in equity stakes.

6. Exits & Life Events

Document what happens mechanically and financially upon departure. Include clear buyback formulas, comprehensive IP assignment, and strict non-compete/conflict-of-interest rules.

Role Division

How to Split Responsibilities Without Splitting the Company

Clear swimlanes and explicit accountability are essential for co-founder harmony and company scaling.

Complementary Skills

- **Functional split:** Define Tech/Product ownership vs. GTM/Ops ownership.
- **Clear boundaries:** Maintain rigid swimlanes for day-to-day execution and operations.
- **Zero overlap:** Eliminate overlap in core decision-making domains to prevent duplicate efforts.

Domain Ownership

- **Core areas:** Establish domains like Product, Engineering, Sales/Marketing, Finance/People.
- **Name the DRI:** Assign one Directly Responsible Individual per operational domain.
- **Transparency:** Publish these ownership structures clearly and consistently to the entire team.

Stage-Based Evolution

- **Adaptability:** Acknowledge how roles change across scale: 0-10, 10-30, and 30-50 people.
- **Plan handoffs:** Prepare for leadership transitions early as roles naturally narrow and specialize.
- **No surprises:** Avoid sudden transitions that create anxiety by communicating evolution plans.

Accountability Matrix (RACI)

- **Framework:** Map out who is Responsible, Accountable, Consulted, and Informed.
- **Key functions:** Apply framework to product roadmap, hiring/firing, pricing, and fundraising.
- **Major thresholds:** Define explicit rules for major spending (>$X) and critical PR/comms decisions.

CO-FOUNDER FUNDAMENTALS

Who Should Be CEO?
(And Why It Matters Less Than You Think)

Core CEO Criteria

Evaluate your founding team objectively against these four critical capabilities rather than ego or original idea ownership.

- **1. External-Facing Comfort**
  Ability to effectively manage customers, media, hiring, and PR.
- **2. Fundraising Ability**
  Crafts narrative + data, builds investor trust, manages board dynamics.
- **3. Decision Authority**
  Can make tough calls under uncertainty and own the company P&L.
- **4. Time Horizon & Resilience**
  Ready for 5+ years of intense public and internal scrutiny.

The Default Tie-Breaker Process

If deadlock occurs, avoid defaulting to "co-CEOs." Implement a structured tie-breaker to ensure rapid decision-making:

- **Time-Boxed Trial**
  Run a 6-12 month trial period with explicit review check-ins based on the core criteria.
- **External Deadlock Resolution**
  If the trial period ends in deadlock, agree in advance that a board or trusted advisor vote will decide.
- **The Core Principle**
  "One final call, many strong voices." Consensus is great, but a designated tie-breaker is essential for speed.

Key Insight: The title matters significantly less than having absolute clarity on who breaks ties when consensus fails.

Decide Fast

Co-Founder Fundamentals

Equity Splits: The Conversation You Must Have Before Incorporation

Model / Consideration	When to Use	Pros	Risks	2026 Best Practices
Equal 50/50	**Early co-creation, similar risk**	Simplicity, symbolic equality	Deadlock risk	Always use with reverse vesting; formally document the tie-breaker process.
Contribution-Weighted	**Different risk, capital, or time commitments**	Perceived fairness	Can be calculated wrong	Document explicit inputs (IP, cash, early traction); revisit at clear milestones.
Dynamic (Slicing Pie)	**Evolving contributions**	Adapts to reality over time	High admin overhead	Convert to a fixed cap table at seed round; cap complexity early.
Vesting / Cliffs	**4y/1y cliff for ALL founders**	Protects against early departure	Can initially feel distrustful	Acceleration only on change-of-control; founder departures trigger buyback at FMV/discount.
Dilution Planning	**Plan option pool 10–15%**	Guarantees team hiring capacity	Founder % compression	Model percentages after Seed and Series A; stay above meaningful threshold.

Co-Founder Dynamics

The Co-Founder Conflict Protocol: Argue Well, Decide Fast

1

Step 1

Surface Early

Name the tension using specific observation, not accusation. Establish the facts of the situation without attaching meaning or assuming intent yet.

Example Script:

"I've noticed [specific behavior]. I want to make sure I'm not missing context. Can you help me understand what's happening from your side?"

2

Step 2

Assume Positive Intent

Restate what you heard and validate their perspective. Identify the underlying root cause of the friction rather than debating the surface symptoms.

Perel Framework:

Locate the covert issue: Is this actually about power & control, care & closeness, or respect & recognition?

3

Step 3

Use Decision Framework

Identify the DRI (Directly Responsible Individual) and establish clear decision criteria. Focus on process instead of trying to force alignment.

If Deadlocked:

If there is no convergence within 48h, escalate to the pre-agreed tie-breaker (CEO, lead board member, or external coach).

4

Step 4

Document & Debrief

Write down the final decision, name the owners, and set a strict execution timeline. Commit to the path fully, even if you disagreed.

Follow-up:

Schedule a short retro within 1 week. Assess the decision process and evaluate relationship health without reopening the debate.

Key Principle: Conflict avoided is conflict compounded.

Successful co-founders embrace conflict and use a structured process to resolve it. Separating the disagreement from the relationship allows both parties to engage with the actual problem rather than getting defensive.

Co-Founder Fundamentals

Legal/Must-Have Operational Governance

The Co-Founder Agreement: 8 Things to Document

Ensure these critical legal, operational, and governance items are agreed upon and documented before you start building.

Part 1: Structural & Legal Protection

Equity & Vesting Terms

☐ Equity split, cliffs, 4-year reverse vesting for all founders, and buyback terms documented. → **Sign formal agreement**

IP & Confidentiality

☐ IP assignment, invention agreement, confidentiality, and outside work policy signed. → **Transfer assets**

Exit & Leaver Scenarios

☐ Exit scenarios, bad-leaver/good-leaver definitions, and non-solicit windows clearly specified. → **Outline triggers**

Compensation Philosophy

☐ Compensation philosophy (salary vs equity trade-offs) and annual review cadence set. → **Agree on strategy**

Part 2: Operational & Governance Rules

Roles & Responsibilities

☐ RACI matrix for key functions mapped out and CEO identification process agreed upon. → **Designate DRIs**

Decision Authority

☐ Decision scope (unilateral/consulted/joint/board) with explicit dollar and percentage thresholds. → **Publish matrix**

Conflict Protocol

☐ Conflict resolution protocol established and mediation/coach escalation path defined. → **Define escalation**

Board & Communication

☐ Investor communication norms set and board composition expectations aligned. → **Set board rules**

Module 8 Recap & Next Steps

Key Concepts

- Stage-fit hiring sequence
- 3-quality hiring rubric
- Culture by behavior, not poster
- Founder-manager OS (5 principles)
- Equity with vesting/cliffs/benchmarks
- 4 letting-go signals
- Investor partnership OS
- 4-step conflict protocol

Action Steps

- Complete 5 workshop assets (Rubric, OS, Equity Audit, Team Health, Map)
- Book 2 conversations you've been avoiding
- Practice the equity script out loud

Bridge to Module 9

Pivot vs Persist

How to read signal vs noise when the strategy needs to change, and how to bring your team through the hardest decision a founder makes.